

Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Thesis

A data-driven analysis of Ethereum's supply mechanics post-merge

Supply ~121.6M ETH | Gas ~0.1 Gwei | Price ~\$2,243

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

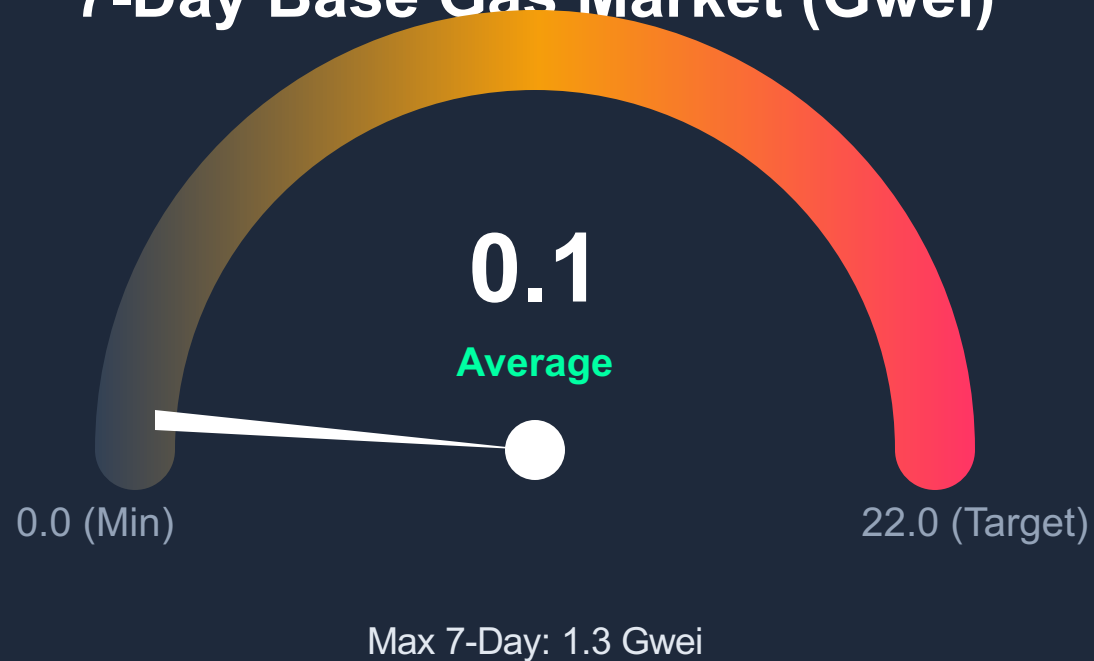
7-Day Supply Change (ETH)

Issuance offset ratio: 0.01x (Burns offset ~1% of new issuance)



Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

7-Day Base Gas Market (Gwei)



Context: Blobs & Equilibrium



EIP-4844 Blob Gas

Avg: 7,144,934 wei

Only 0.15 ETH (\$319) blob fees burned (7D)



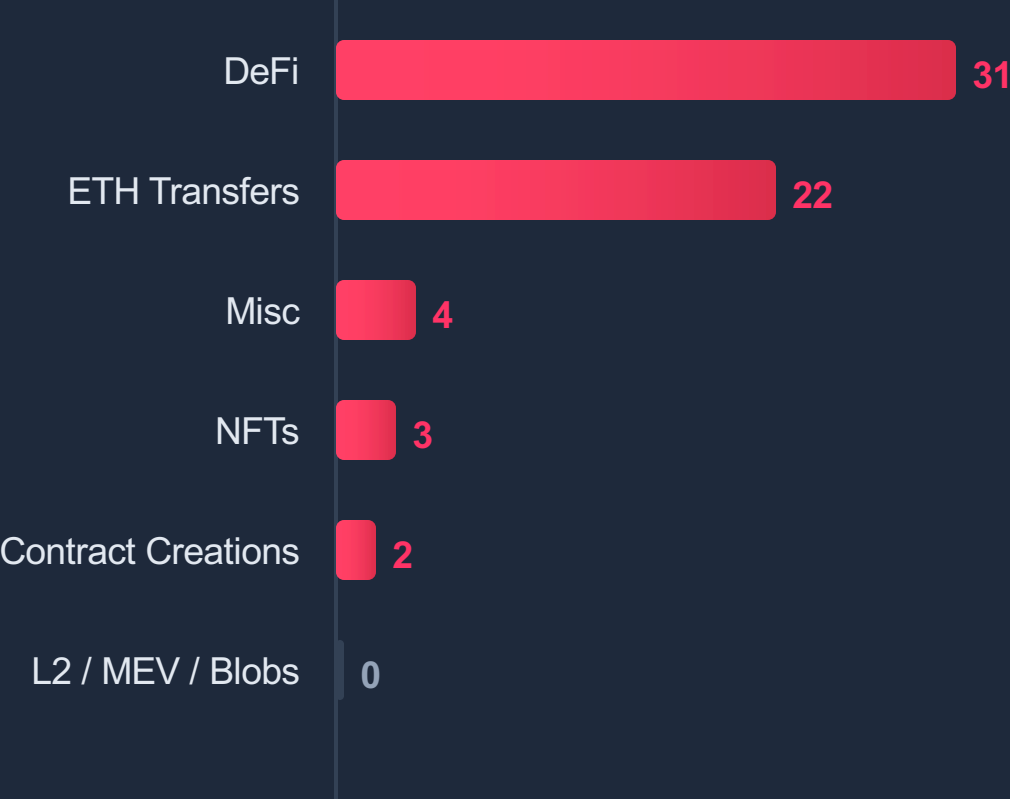
Equilibrium Assumption

Long-term model assumes 22 Gwei

Current levels = Low burn = Inflation

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Burn Categories (7-Day, ETH)



Top Burn Leaderboard

#1	ETH Transfers	21.74 ETH
#2	Tether (USDT)	13.55 ETH
#3	Various DeFi Contracts	...

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Proof-of-Stake Security



Total ETH Staked

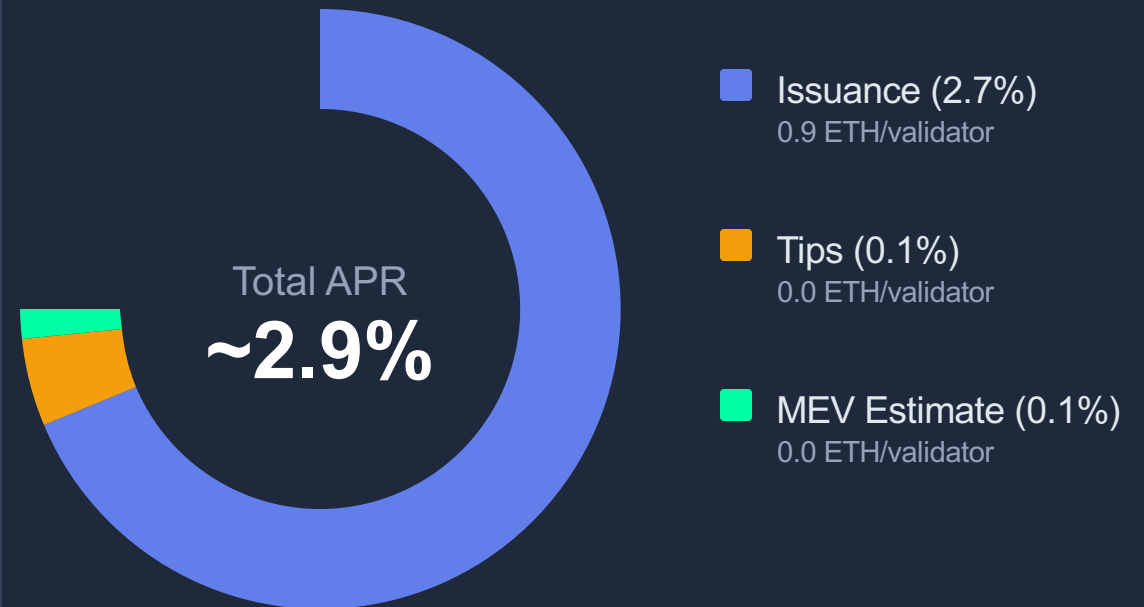
38.9M (~32% of supply)



Scarcity Engine (Locked)

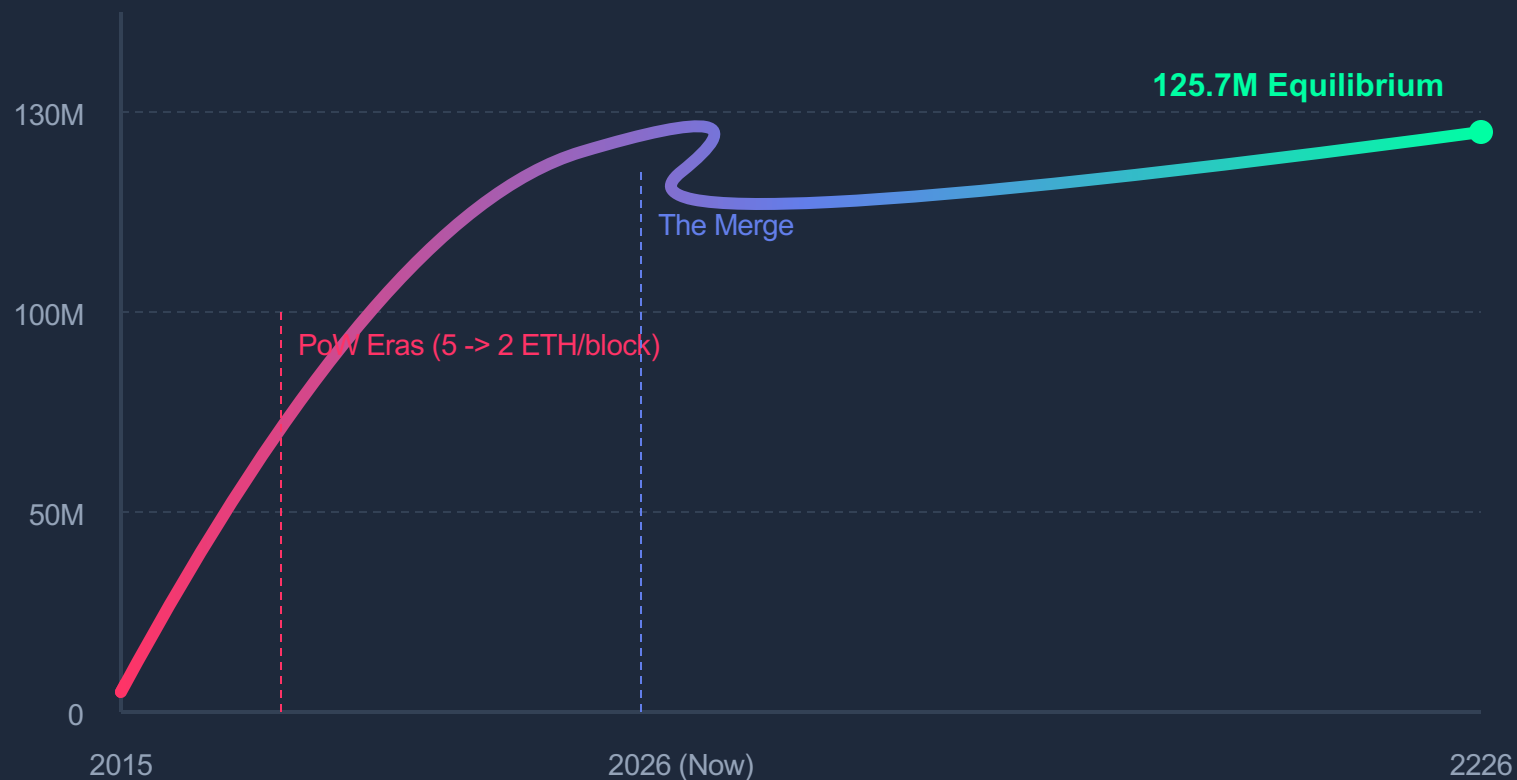
9.1M (Avg 10.7 years)

Validator APR Breakdown



Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

200-Year Supply Projection & Historical Eras



Projection Parameters

Staked ETH Assumption

39.0M

Base Gas Assumption

22 Gwei

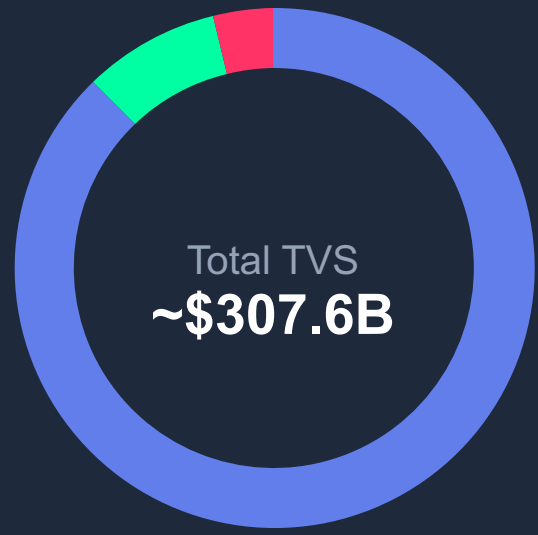
Daily Dynamics (Equilibrium)

Issuance: ~2.8K ETH/day

Burn: ~2.2K ETH/day

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping Progress (Market Cap Ratio) | Total Value Secured (TVS) Breakdown



Key Takeaways: Ultra Sound Money Thesis Intact

but Gas Activity Is the Critical Variable

- 01** ETH is currently slightly inflationary at **+0.83%/yr** due to historically low base gas (0.1 Gwei).
- 02** The EIP-1559 burn mechanism functions perfectly but requires **sustained on-chain activity**.
- 03** A massive scarcity engine exists: **38.9M ETH staked** creates significant and long-term supply lock.
- 04** Long-term **equilibrium at 125.7M ETH** is structurally sound and mathematically projected.
- 05** Flipping progress and **\$307B+ TVS** demonstrate growing monetary premium against stores of value.